AI FOR MANAGERS · STUDY GUIDE

Your Performance Picture Is Broken

Can I still trust the signals I use to evaluate my team?

MODULE 2 · LESSON 1 | THE NEW PERFORMANCE PROBLEM | Decision lesson · 7–9 min

THE CORE IDEA

When AI changes how work gets produced, traditional performance signals become weaker.

Speed, comparison, and the deliverable itself all read the same surface — the output — and that surface no longer reflects how the work was made.

1 This module begins the Assess move

Module 1 showed AI changing the work itself — inside the process, invisibly in the output, unevenly across your people. This module is the response: the first of the **Team AI Integration Framework**'s four moves — **Assess**, before Align, Control, and Lead. Assess gives you the baseline: before you can set standards, design controls, or develop people, you need an accurate picture of what is actually happening. Across three lessons, this module builds that picture — captured as your **Team AI Baseline**.

2 Three signals, one broken assumption

Speed. Comparison. The deliverable itself. These are the signals you rely on to read how your team is doing. Where people have integrated AI into their work, all three have become unreliable — not because you stopped paying attention, but because all three read the same surface: the output. AI changed how work gets made inside the process while the deliverable kept looking normal, or better than normal. The assumption that the surface still reflects the work is what broke.

3 Speed has become a question

Speed was always an imperfect signal for mastery, but a useful one. AI made it much harder to trust: a first draft in twenty minutes that used to take three hours is evidence of a tool, not of improved skill. And the tool helps most when the task is straightforward, and least — or actively misleads — when the task requires judgment, nuance, or deep context. Studies on well-matched tasks have found speed improvements of 25–40%; on tasks outside AI's range — complex, ambiguous, context-heavy — some of the same research finds users with AI perform *worse* than those without it, despite delivering faster. **Speed is no longer a reliable signal. It has become a question.**

4 You may be comparing conditions

When you compare two people's output, you assume you are comparing their capability. AI has made that unreliable, because it has not changed everyone's work process equally. One person's structured, text-heavy tasks sit exactly where AI changes the process most; another's work runs on ambiguity and judgment, where AI helps least. Compare them at review time and you are comparing outputs from very different processes — a difference invisible in what arrives on your desk. That is the **jagged frontier** — the uneven, hard-to-predict boundary of where AI helps — showing up in your performance data. And task fit is not the only condition: access, confidence, peer coaching, informal training, and clarity about approved tools also shape what each

person can do with AI. Performance management calls the resulting mistake **attribution error**: seeing an output gap and assuming a capability gap, when it may be a conditions gap. **You may not be comparing people. You may be comparing conditions.**

5 The deliverable no longer shows who did the thinking

A strong piece of work used to mean something specific: the person who submitted it mostly created it. Today the same finished document might mean the person thought deeply and wrote every word; or wrote a prompt, reviewed the output quickly, and sent it on; or something in between – and it looks identical in all three cases. Studies on professional writing tasks found that lower-ability workers benefited more from AI than higher-ability workers, shrinking gaps in quality and speed. A less experienced team member can now produce output that looks like senior work – sometimes genuinely valuable, sometimes masking a capability gap that only surfaces when judgment, context, or accountability is actually required. The deliverable still matters, but it is no longer enough. You also need to know what role the person played in producing it.

THE PERFORMANCE QUESTIONS

1. Did they define the problem?
2. Did they decide what mattered?
3. Did they exercise judgment about what to include and what to cut?
4. Did they verify the parts that needed verification?
5. Could they explain the reasoning without the finished document doing the work for them?

These are performance questions now – they tell you whether someone is building capability or producing stronger-looking output with support from a tool.

Three signals, all disrupted by the same shift, at the same time. If only one had broken, you could lean on the others. When the deliverable stops telling you who did the thinking, you have run out of signals – which is why a better baseline comes before performance conclusions.

WHAT TO DO DIFFERENTLY AFTER THIS LESSON

- Stop reading faster delivery as improved capability – treat speed as a **question** about how the work was produced.
- Before ranking people against each other, check whether you are comparing capability or **conditions** – task fit, access, training, tool clarity.
- Stop treating a strong deliverable as proof of who did the thinking – ask what role the person played in producing it.
- Hold performance conclusions until you have a real baseline of how the work is actually being made – building one is what this module gives you.

Module 2 · The New Performance Problem – this module runs the Assess move: building the baseline you need before drawing conclusions. **Next: Lesson 2.2 – The Output Looks Fine – That's the Problem** – how AI can hand your team work that looks sound while hiding errors your review was never built to catch.